

Mahindra Logistics Q3FY22 Revenue was below expectations, as Auto sector remained impacted due to semiconductor issue and festive demand in E-commerce witnessed moderate growth impacting costs.

- **Revenue** at Rs 11179mn (+7% YoY) (+10% QoQ)
- **EBIDTA** stood at Rs 476.6 mn (-10 YoY) (-5% QoQ)
- **EBIDTA margins** 4.26% (Vs 5.1% YoY) (4.9% QoQ)
- **PAT Adj.** stood at Rs 56.9mn (-69% YoY) (-42% QoQ)

Other Details

- **Operating expense as % to Revenue** 86.7% (Vs 85.7% YoY) (Vs 85.5% QoQ)
- **Employee Cost** at 766mn (-4% YoY) (+1% QoQ)
- **Other expense as % to Revenue** 1.9% (Vs 1.6% YoY) (Vs 2% QoQ)
- **Depreciation** +47% YoY to Rs 357.1mn (+9% QoQ) || Interest +36% YoY to Rs 74.5% YoY (+9% QoQ) mainly due to IND-AS 116)
- **PBT** at 71.2 mn (-71% YoY) (-41% QoQ)

Outlook:

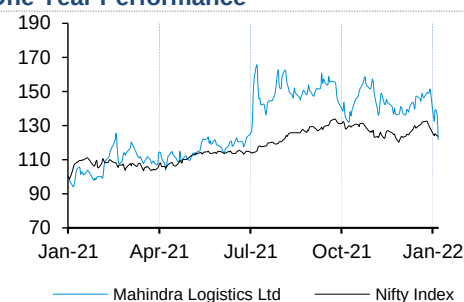
- Non-Auto SCM business recorded highest quarterly revenue at Rs 5117mn +24.3% YoY and 24% QoQ
- SCM margins were impacted due to lower volumes. Jan -2022 productivity has improved.
- 60% of cost increase was a combination of lower volume & higher manpower cost leading to lower leverage and 40% was due to additional star-up cost mainly Bajaj Electrical.
- Q4FY22 might have volume fluctuations due to 3rd wave.
- As productivity of new large-size warehouse improve leverage will flow-through in profitability.

Rating	TP (Rs)	Up/Dn (%)
HOLD	570	-3

Market data

Current price	Rs	587
Market Cap (Rs.Bn)	(Rs Bn)	42
Market Cap (US\$ Mn)	(US\$ Mn)	562
Face Value	Rs	10
52 Weeks High/Low	Rs	821 / 440
Average Daily Volume	('000)	81
BSE Code		540768
Bloomberg		MAHLOG.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Sep-21	Dec-21
Promoters	58.18	58.25
Public	41.82	41.75
Total	100	100

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E
Net sales	34,711	32,636	40,501	49,599	57,458
EBIDTA	1,582	1,341	1,898	2,879	3,388
Margins	4.6	4.1	4.7	5.8	5.9
PAT (adj)	551	319	320	845	1,168
growth (%)	(35.7)	(42.0)	0.3	163.7	38.2
EPS	7.7	4.5	4.5	11.8	16.3
P/E (x)	76.2	131.8	131.5	49.9	36.1
P/B (x)	7.7	7.4	7.2	6.5	5.6
EV/EBITDA (x)	27.1	31.5	23.0	15.0	12.5
RoE (%)	10.1	5.6	5.5	13.0	15.6
ROCE (%)	11.5	5.3	6.3	13.9	16.1

Source: Dalal and Broacha

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SEGMENTS

- **SCM Business (96% Revenue)** Revenue +6% YoY to Rs 10749.5mn (QoQ +10%) || **PBIT margins** 5.38% v/s 7.97% YoY (6.03% QoQ) || **Gross Margins** stood at 8.9% v/s 10% YoY (9.9% QoQ)
 - Overall Value add business grew higher v/s transportation.
 - a) Warehouse revenue +35% YoY and +29% QoQ at Rs 2726mn
 - b) Transportation revenue was flat on YoY basis and 4.6% QoQ at Rs 802.4mn
- **A. MNM SCM** 43% of Revenue (Vs 48% YoY)
 - MNM SCM business on a YoY basis declined by 4.6% at Rs 4850mn and remained flat on a QoQ basis; despite a QoQ double digit growth in volumes.
 - Mahindra volume growth -4.4% YoY (+12% QoQ)
- **B. NON MNM SCM** 53% Revenue (v/s 48% YoY)
 - Revenue +17.6% YoY +19.2% QoQ @ Rs 5900mn
 - Non-Auto business grew by 23.5% YoY and 24% QoQ
 - Share of warehouse and solution increased to 38% v/s 33% YoY
 - *New account won include:* 1. Distribution fulfilment operation for and FMCG company in West Indian, garment manufacturer in Western India 2. Inbound for an EV 2 w OEM 3. Expanding the retail space of one multi-brand retail chain.
 - Non MNM SCM business warehouse solution: 70% of growth would be on account of “business as usual” and 25-30% would be due to flex solution.
 - Festive demand in case of E-comm business was moderate with Oct showing positive traction, Nov was marginal and December muted.
 - Volume in E-commerce was low due to muted demand that impacted the leverage on many of MLL’s warehouse sites. Recovery is expected in medium-term
- **Personal Mobility: (4% of Revenue)**
 - PTS Revenue +16% YoY to Rs 429.3mn (+6% QoQ)
 - Gross Margins 8.9% v/s 7% YoY
 - PBIT margins 5.3% v/s 3.3% YoY (4.5% QoQ) continuation of WFH impacted revenue especially in the BFSI segment
 - Focused on other segments like E-commerce and other managed services market
 - Expect PTS to remain under pressure, but efforts on to broaden customer portfolio
 - **Meru Acquisition:** announced in November 2021, will add on-call services to PTS with better B2B and B2c services, will add 250 EV’s under this. Synergies would come in in terms of a) overhead management & technology, sales and marketing b) fleet optimization and c) demand optimization. Will have some negative impact in the initial period but have better earning v/s Meru’s past.
 - Expect PTS (enterprise mobility) to remain under pressure

Transport business in Non MNM grew at 8% YoY and warehouse business grew by 37% YoY

Other Points

- Overall Network: Network Hubs 50+ ||Customers 300+ ||Active Business partners 1450+|| Operating Locations 200+|| Drivers 6000+ || vehicles deployed per day 5500+
- Grade 'A' warehouse space increased from 11.7mn sqft in Q1FY22 to 13mn sq ft in Q3FY22 (11.1mn sqft FY21)
- Overall space under management stood at 17.1mnsqft

Conference Call Highlights

- **DEMAND (Overall)**
 - Overall logistics solution is witnessing an improving trend
 - Multimodal movement has picked up in commodities and automotive sector
 - Drive towards network expansion and omni channel fulfilment is giving traction to fulfilment logistics, last mile delivery and increased demand for integrated solution
 - Global supply chain fragile due to shortages in containers and geopolitical reasons which has impacted supplies of MLL's customers, in this environment technology is the key lever for driving customer efficiency
- **BUSINESS (Automotive)**
 - Semiconductor chip shortage continues, and structural improvement will take few quarters from now.
 - OEM price hikes, high fuel prices have added to the issue of chip shortages and demand is subdued
 - CV sales were strong but were driven from inventory, 2W demand subdued
 - MLL's auto business MNM and NON MNM was impacted due to slow down in volumes
 - Volatility in volumes impacted gain sharing program with customers
- **BUSINESS (Farm & Agro)**
 - Tractor market has seen slowdown in Q3FY22 (on a YoY basis) and continues to be an overhang due to significant base effect and unseasonal rains.
 - Outbound movement in tractors was slow for MLL as well, but manufacturing activity continued by its customers
- **BUSINESS (E-Commerce)**
 - Oct positive traction, Nov was marginal and December was muted
 - Festive demand was moderate, impact was more prominent for specific categories like electronics and large appliances owing to off season sales of AC's, fans and air coolers. Some categories like Dishwashers, laptops and microwave witnessed steady growth (as base was high).

- Metros and Tier1 saw good demand , Rural demand was subdued.
- Re-opening of distribution system, wave 2 impact on consumer sentiment and supply chain issues due to semiconductor also impacted sales
- **BUSINESS (Consumer Pharma, FMCG and consumer durable)**
 - Positive momentum as opening up of markets helped but high base rural demand was impacted due to inflation
 - Modern trade and E-commerce growth was witnessed; discretionary category witnessed growth aided by improved mobility and increased footfalls and larger no of social events and uptake in wedding demand. **MLL witnessed moderate growth with more volumes coming from the first mile and mid mile**
- **BUSINESS (International Freight & Forwarding {part of subsidiary})**
 - Global supply chain remained overheated with shortage in containers and capacity issues which has led to shortage led inflation across board in air/ocean products.
 - Recovery in exports is aiding a broader growth pattern with an uptake across all categories, imprints pressure remains due to supply chain issues
 - Segment is benefiting due to positive pricing environment but margins remain under pressure. MLL's growth was strong and focus was diversifying offering base.
 - Went live with new platform
- **BAJAJ ELECTRICALS**
 - Q3FY22 was the 1st full quarter of the project in steady state form, witnessed strong revenue growth flow through.
 - Transition completed, technology driven supply model applied, optimization period in supply chain started which has higher cost that was witnessed in this quarter which would be completed by 3-6 months period.
 - Doing ~800 to 1000 trips a day across 13 facilities and delivering to 700 delivery points.
 - Bajaj Electricals (is a mix of transportation and warehouse) at peak expect margins to be in-line or slightly above MLL's margins profile
- **Luhari warehouse**
 - 1.4mn sqft (india's largest 3PL warehouse facility in a single location)
 - 0.5mn sqft operational, other 2 under construction which would be delivered by Q4FY22 and Q3FY23. 2500 employees would be employed at peak of the site.
- **EDEL (last mile delivery solutions)**
 - Completed 1 year of operations completing ~5mn kms across 14 cities in India
 - Fleet @ ~700 vehicles
 - Flipkart and Amazon relations continue to expand

- **FINANCE AND OPERATIONS**

- Muted demand in E-commerce in November and December affected volumes at many sites impacting operational efficiency and leverage which company gains.
- Additional capacity should see volume recovery in medium term
- Manpower availability due to covid and other reasons was a challenge leading to higher cost (especially in the south) combined with volumes drying up faster than expected impacting the utility of the temporary work force. Had hired 13k people for season.
- **Margins** in transportation business is largely stable, fuel cost inflation is sorted to some extent. Warehouse and solution business was impacted. Start-up cost in Q3FY22 was majorly on account of the Bajaj contract.
- Flex solution business: if volumes is in-line with expectation the margins would be in line with our normal warehouse business, plus get some addition on business for transportation
- **Interest and Depreciation** is high as due to IND-AS 116 the cost charges are frontloaded which impacts earnings in the short-term compared to previous model, but through the life cycle of the project in the later years it comes back and normalize. Also the newer ware-house have slightly higher rate as well.

- **Capex plans** FY22 at Rs 800 to Rs 900mn

Quarterly Financials

MAHLOGISTICS (Rs Mns)	Q3FY22	Q3FY21	YoY Growth	Q2FY22	QoQ Growth
in MNs					
Sales	11178.80	10467.50	7%	10191.10	10%
Total operating Income	11178.8	10467.5	7%	10191.1	10%
Other income	26.2	17.60	49%	19.6	34%
Total Revenue:	11205.00	10485.1	7%	10210.70	10%
Expenses:-					
Raw Mat Cost	38.50			12.40	210%
% to Operating Income					
Freight Expenses & Other Exps	9686.5	8970.4	8%	8712.6	11%
% to Operating Income	86.7%	85.7%		85.5%	
Employee benefit expenses	766	798.2	-4%	757.2	1%
% to Operating Income	6.9%	7.6%		7.4%	
Other expenses	211.2	169.3	25%	208.6	1%
% to Operating Income	1.9%	1.6%		2.0%	
Total Expenses	10,702.20	9,937.90	8%	9,690.80	10%
EBITDA (exc OI)	476.60	529.60	-10%	500.30	-5%
EBITDA Margin %	4.3%	5.1%		4.9%	
EBITDA (inc OI)	502.80	547.20	-8%	519.90	-3%
Depreciation	357.1	243	47%	328.2	9%
PBIT	145.70	304.20	-52%	191.70	-24%
Interest	74.5	54.6	36%	68.3	9%
PBT (Before Exceptional)	71.20	249.60	-71%	123.40	-42%
Exceptional Item				0.00	
PBT (post Exceptional)				123.40	-100%
Tax expenses	20.5	65.6	-69%	30.5	-33%
<i>Tax Rate</i>	29%	26%		25%	
PAT (reported)	50.70	184.00	-72%	92.90	-45%
MI	-6.2	0.1	-6300%	-5.1	22%
Share of loss of JV	0	-1.4		0	
PAT (owners)	57	182.50	-69%	98	-42%
NPM	0.51%	1.74%		0.96%	
Equity	718.6	716.6	0.3%	717.8	0%
EPS	0.79	2.55	-69%	1.37	-42%
SEGMENT RESULTS					
SCM (Total A+B)	10749.50	10098.40	6%	9784.20	10%
<i>Non-Mahindra SCM (A)</i>	<i>5899.0</i>	<i>5015.00</i>	<i>18%</i>	<i>4948.0</i>	<i>19%</i>
<i>Mahindra SCM (B)</i>	<i>4850.5</i>	<i>5083.40</i>	<i>-5%</i>	<i>4836.2</i>	<i>0%</i>
PTS Revenue	429.3	369.1	16%	406.9	6%
Total Operating Income	11178.80	10467.50	7%	10191.10	10%
PBIT					
SCM	578	804.7	-28%	590.1	-2%
PBIT Margins	5.4%	7.97%		6.0%	
People transport solution	22.9	12	91%	18.5	24%
PBIT Margins	5.3%	3.25%		4.5%	
Total	600.9	816.7	-26%	608.6	-1%
PBIT Margins	5.4%	7.8%		6.0%	

Source Dalal and Broacha

Outlook & Valuation

SCM margins were impacted due to lower volumes.

Star-up cost on account of the large Bajaj Electric contract was higher than usual that too impacted the integrated solution margins which should stabilize by start of next fiscal.

Omicron has resulted in fluctuating volumes, which might impact the flowthrough in Q4 as well. But manpower cost to some extent is under control.

Auto business volatility expected to continue improvement to come-in in the later half of next fiscal

Festive demand in case of E-comm business was moderate with Oct showing positive traction, Nov was marginal and December muted.

Farm and Agro outbound impacted due to base effect , however manufacturing activity continued

Consumer, Pharma and FMCG business witnessed moderate growth with more volumes coming from the first mile and mid mile aided by opening up and wedding season

Going Forward:

Jan -2022 productivity has seen improvement with cost per person coming down.

Start-up cost of Bajaj Electricals contract will stabilize by next fiscal

MLL signs most of solutions and warehousing services contracts with a minimum guaranteed volume and there is a volume flow through which works and as volume picks up MLL sees greater leverage in earnings which absorbs operating cost.

In 9MFY22 MLL has built-in larger facilities for further growth and higher volumes flow but this quarter volumes were below expectations and was on the bottom end of the band because of which could not get the returns one typically generates.

The company has building blocks in place with investments in technology

MLL logistics has an aspiration to reach Rs 10000crs revenue and a warehouse space addition of 20mn sqft (over a 5 year period) of which 4mn sqft has been contracted already. In addition to this the profitability is also expected to improve.

At CMP of Rs 587 Mahindra Logistics trades at 50x FY23e EPS of Rs 11.8 and 36x FY24e EPS of Rs 16.3. We are positive on the longer term opportunity in the logistics space but believe the stock is fully valued at current levels from a short to medium term perspective We had given **Book Partial Profits as per our Q2FY22 update and the stock has corrected from those levels we revise our ratings to HOLD with a target price of Rs 570.**

Financial

P&L (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	34,711.0	32,636.2	40,500.5	49,598.8	57,458.4	Net Profit	550.8	319.5	320.4	845.0	1,167.8
Freight Expenses	(29,341.6)	(27,643.0)	(34,679.6)	(42,271.8)	(48,970.4)	Add: Dep. & Amort.	734.3	896.5	1,328.3	1,501.5	1,588.1
Employee Cost	(3,066.6)	(2,964.6)	(2,991.4)	(3,350.4)	(3,852.9)	Cash profits	1,285.1	1,216.0	1,648.7	2,346.4	2,755.9
Other Expenses	(720.5)	(687.4)	(931.8)	(1,097.7)	(1,247.4)	(Inc)/Dec in					
Operating Profit	1,582.3	1,341.2	1,897.7	2,878.9	3,387.7	Sundry debtors	(105.4)	500.3	(1,135.9)	(802.5)	(1,076.7)
Depreciation	(734.3)	(896.5)	(1,328.3)	(1,501.5)	(1,588.1)	Inventories	-	-	(16.3)	16.3	-
PBIT	848.0	444.7	569.4	1,377.4	1,799.7	Loans/advances	-	150.0	-	-	-
Other income	139.8	174.7	116.1	62.9	94.9	Other Current Assets	(535.4)	(1,191.2)	(410.6)	(639.7)	(790.2)
Interest	(176.3)	(200.9)	(279.0)	(298.6)	(318.3)	Current Liab and Provisions	(127.3)	124.1	35.9	94.5	106.7
PBT	811.5	418.5	406.6	1,141.8	1,576.2	Sundry Creditors	171.1	1,489.1	1,080.4	523.9	797.3
Extraordinary Fixed term consultant fees	-	-	-	-	-	Change in working capital	(597.0)	1,072.3	(446.5)	(807.5)	(962.8)
Profit before tax (post exceptional)	811.5	418.5	406.6	1,141.8	1,576.2	CF from Oper. activities	688.1	2,288.3	1,202.2	1,538.9	1,793.1
Provision for tax	(257.4)	(100.2)	(102.3)	(287.4)	(396.7)	CF from Inv. activities	(1,878.7)	(2,558.3)	(2,495.0)	(1,033.2)	(516.6)
Reported PAT	554.1	318.3	304.2	854.4	1,179.5	CF from Fin. activities	1,486.4	1,251.4	110.8	142.6	58.6
MI	2.8	12.1	18.9	(7.5)	(10.3)						
Net Profit	556.9	330.4	323.1	846.9	1,169.1						
Adjusted Profit (excl Exceptionals)	550.8	319.5	320.4	845.0	1,167.8	Cash generated/(utilised)	295.8	981.4	(1,182.1)	648.4	1,335.1
						Cash at start of the year	699.5	995.3	1,976.7	794.6	1,443.0
						Cash at end of the year	995.3	1,976.7	794.6	1,443.0	2,778.1
							0.0	(0.0)	0.0	-	0.0
Balance Sheet	FY20	FY21	FY22E	FY23E	FY24E	Ratios	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	715.4	717.0	717.8	717.8	717.8	OPM	4.6	4.1	4.7	5.8	5.9
CCPS	-	-	-	-	-	NPM	1.58	0.97	0.79	1.70	2.03
Reserves	4,731.1	4,964.0	5,104.9	5,770.5	6,758.8	Tax rate	(31.7)	(23.9)	(25.2)	(25.2)	(25.2)
Net worth	5,446.5	5,681.0	5,822.7	6,488.3	7,476.6	Growth Ratios (%)					
MI	54.3	28.0	9.1	16.6	26.9	Net Sales	(9.9)	(6.0)	24.1	22.5	15.8
Non Current Liabilities	1,377.0	1,963.1	2,244.6	2,469.0	2,715.9	Operating Profit	4.6	(15.2)	41.5	51.7	17.7
Current Liabilities	7,340.6	9,115.6	10,480.9	11,101.5	11,986.4	PBIT	(34.4)	(47.6)	28.0	141.9	30.7
TOTAL LIABILITIES	14,218.4	16,787.7	18,557.3	20,075.4	22,205.9	PAT	(35.7)	(42.0)	0.3	163.7	38.2
Non Current Assets	4,353.8	4,745.0	5,907.0	5,425.9	4,440.1	Per Share (Rs.)					
Fixed Assets	2,621.4	3,783.0	4,656.8	4,188.5	3,117.0	Net Earnings (EPS)	7.70	4.46	4.46	11.77	16.27
Goodwill	43.3	43.0	43.0	43.0	43.0	Cash Earnings (CPS)	18.0	17.0	23.0	32.7	38.4
Non Current Investments	31.4	-	-	-	-	Dividend	1.5	-	-	-	-
Deferred Tax Asset	199.7	221.0	231.9	144.0	144.0	Book Value	76.1	79.2	81.1	90.4	104.2
Long Term Loans and Advances	-	-	-	-	-	Free Cash Flow	(22.6)	3.7	(9.6)	9.6	20.4
Other Non Current Assets	1,458.0	698.0	975.3	1,050.4	1,136.0	Valuation Ratios					
Current Assets	9,864.6	12,042.7	12,650.4	14,649.5	17,765.8	P/E(x)	76.2	131.8	131.5	49.9	36.1
Current investments	-	551.0	843.9	843.9	843.9	P/B(x)	7.7	7.4	7.2	6.5	5.6
Inventories	-	-	16.3	-	-	EV/EBIDTA(x)	27.1	31.5	23.0	15.0	12.5
Trade Receivables	5,356.3	4,856.0	5,991.9	6,794.4	7,871.0	Div. Yield(%)	0.3	-	-	-	-
Cash and Bank Balances	995.3	1,976.7	794.6	1,443.0	2,778.1	FCF Yield(%)	(3.8)	0.6	(1.6)	1.6	3.5
Short Term Loans and Advances	150.0	-	-	-	-	Return Ratios (%)					
Other Current Assets	3,363.0	4,659.0	5,003.7	5,568.2	6,272.8	ROE	10%	6%	6%	13%	16%
TOTAL ASSETS	14,218.4	16,787.7	18,557.3	20,075.4	22,205.9	ROCE	11%	5%	6%	14%	16%

Source: Dalal & Broacha Research, Company

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